

Project Report on Dairy farming

Scheme: _____

Dairy Name: _____

Dairy Address: _____

Dairy Owner Name & Address: _____

Aadhaar No: _____

PAN NO. _____

Mobile No: _____

Project Report
Of
Dairy Farming
For: Government Loan &
Subsidy Scheme
20CB Cows/Graded
Buffaloes

INTRODUCTION

Dairy farming from being a traditional family run businesses, today has grown hugely to an organized dairy industry with technological specializations in every part of the process. There has been tremendous growth in dairy farming sector in terms of technological advancement that help the modern dairy farms to manage thousands of dairy cows and buffaloes. This huge boost in the industry has created a lot of farming jobs for the people. But many of the dairy farms still manage and run organic dairy farms mostly in villages and supply the milk to get processed by large companies and finally sell to the retail outlets. The best approach is to create and run a sustainable dairy farm that gives maximum profits to the farm and also takes care of the effects of dairy farms on environments and animals for a longer period. Though a profitable business venture dairy farming in India requires hard work, proper planning and an active and very alert managers and supervisors. In today's technological world there have been many advances in modern dairy farming. Everything from feed for dairy cows to milk processing equipment have added tremendous scope to the dairy farming industry.

Milk plays an important essential food for human life, since babyhood to end of elderly life. Milk is a complex food that contains vital nutrients for the bodies of young mammals. Milk is the only food of the mammal during the first period of its life and the substances in milk provide energy and antibodies that help protect against infection. For humans, milk and dairy products make a significant contribution to meeting our bodies' needs for calcium, magnesium, selenium, riboflavin, vitamin B12 and pantothenic acid (vitamin B5) and therefore play a key role for health and happiness in our development.

Scope of dairy farming-

The share of livestock product is estimated at 21% of total agriculture sector. The fact that dairying could play a more constructive role in promoting rural welfare and reducing poverty is increasingly being recognized. Dairying is an important source of subsidiary income to small/marginal rural farmers and agricultural labourers. The manure from animals provides a good source of organic matter for improving soil fertility and crop yields. The bio gas from the dung issued as fuel for domestic purposes as also for running engines for drawing water from well. The surplus fodder and agricultural by-products are gainfully utilized for feeding the animals. Almost all draught power for farm operations and transportation is supplied by bullocks. Since agriculture is mostly seasonal, there is a possibility of finding employment throughout the year for many persons through dairy farming. Thus, dairy also provides employment throughout the year

Future prospects

- Large rural market gap
- Increasing quantity of available milk for processing
- Fast growing economy
- Diversification
- large market and investment opportunity
- increasing income of consumers,
- Changing life style and preference for milk and milk products, more number of adult consumers, untapped markets

A. TECHNO ECONOMIC PARAMETERS

S.No	Particulars	Value
1	Type of Animal	CB Cows / Graded Buffaloes
2	No of animals	20
3	Cost of animal (Rs.)	85000
4	Transportation cost/animal	3000
5	Floor space (sq.ft/adult)	60
6	Cost of construction/sq.ft	400
7	Cost of chaff cutter	50000
8	Cost of Milking Machine	50000
9	bore well	60000
10	Motor 3HP	20000
11	Electrical wiring	30000
12	Misc	50000

B. CAPITAL COST

Particulars	Amount
Cost of animals	17,00,000.00
Transportation cost	60,000.00
Construction of animal shed	4,80,000.00
Other Cost	2,60,000.00
TOTAL	25,00,000.00

C. MEANS OF FINANCE

Source	%	Amount
Bank Loan (Term Loan)	80	20,00,000.00
Promoter Contribution	20	5,00,000.00
TOTAL		25,00,000.00

PROFITABILITY STATEMENT

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
Gross Receipt							
Sales	49,50,000.00	49,50,000.00	53,62,500.00	62,92,000.00	63,88,800.00	71,34,160.00	83,49,000.00
Sale Of gunny Bag And cow Dung	1,50,000.00	1,50,000.00	1,80,000.00	1,90,000.00	2,00,000.00	2,20,000.00	2,50,000.00
(A)	51,00,000.00	51,00,000.00	55,42,500.00	64,82,000.00	65,88,800.00	73,54,160.00	85,99,000.00
Expenditure							
Feed Cost	27,74,000.00	27,74,000.00	30,66,000.00	38,54,400.00	37,74,100.00	43,36,200.00	52,92,500.00
Salary & Wages	4,80,000.00	4,80,000.00	5,76,000.00	7,20,000.00	9,00,000.00	10,80,000.00	12,96,000.00
Medicine Cost	20,000.00	22,000.00	24,200.00	26,620.00	29,282.00	16,105.00	17,715.00
Insurance Cost	34,000.00	34,000.00	40,000.00	40,000.00	45,000.00	45,000.00	50,000.00
Electrical Cost	25,000.00	27,500.00	30,250.00	33,275.00	36,600.00	40,260.00	44,286.00
Depreciation	1,00,000.00	90,000.00	81,000.00	72,900.00	65,610.00	59,049.00	53,144.10
Bank Interest	2,00,000.00	1,71,428.50	1,42,857.00	1,14,285.50	85,714.00	57,142.50	28,571.00
Total Expenditure (B)	36,33,000.00	35,98,928.50	39,60,307.00	48,61,480.50	49,36,306.00	56,33,756.50	67,82,216.10
C. Operating Profit (A-B)	14,67,000.00	15,01,071.50	15,82,193.00	16,20,519.50	16,52,494.00	17,20,403.50	18,16,783.90
Provision for Tax	-	-	-	-	-	-	-
Net Profit	14,67,000.00	15,01,071.50	15,82,193.00	16,20,519.50	16,52,494.00	17,20,403.50	18,16,783.90
 Add: Depreciation	1,00,000.00	90,000.00	81,000.00	72,900.00	65,610.00	59,049.00	53,144.10
Bank Interest	2,00,000.00	1,71,428.50	1,42,857.00	1,14,285.50	85,714.00	57,142.50	28,571.00
Cash Accruals	17,67,000.00	17,62,500.00	18,06,050.00	18,07,705.00	18,03,818.00	18,36,595.00	18,98,499.00
 Repayment Obligation							
Installment	2,85,715.00	2,85,715.00	2,85,715.00	2,85,715.00	2,85,715.00	2,85,715.00	2,85,710.00
Interest on Term Loan	2,00,000.00	1,71,428.50	1,42,857.00	1,14,285.50	85,714.00	57,142.50	28,571.00
	4,85,715.00	4,57,143.50	4,28,572.00	4,00,000.50	3,71,429.00	3,42,857.50	3,14,281.00
 D.S.C.R.	3.64	3.86	4.21	4.52	4.86	5.36	6.04
Average D.S.C.R.	4.64						

PROJECTED BALANCE SHEET

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
A. Liabilities							
Capital							
Op. Balance	-	13,67,000.00	22,18,071.50	31,00,264.50	39,70,784.00	48,23,278.00	56,93,681.50
Addition	5,00,000.00	-	-	-	-	-	-
Profit & Loss A/c	14,67,000.00	15,01,071.50	15,82,193.00	16,20,519.50	16,52,494.00	17,20,403.50	18,16,783.90
Less: Drawings	6,00,000.00	6,50,000.00	7,00,000.00	7,50,000.00	8,00,000.00	8,50,000.00	9,00,000.00
Cl. Balance	13,67,000.00	22,18,071.50	31,00,264.50	39,70,784.00	48,23,278.00	56,93,681.50	66,10,465.40
Term Loan	17,14,285.00	14,28,570.00	11,42,855.00	8,57,140.00	5,71,425.00	2,85,710.00	-
Current Liabilities & Exps. Payable	1,00,000.00	1,20,000.00	1,40,000.00	1,50,000.00	1,70,000.00	1,80,000.00	2,00,000.00
	31,81,285.00	37,66,641.50	43,83,119.50	49,77,924.00	55,64,703.00	61,59,391.50	68,10,465.40
B. Assets							
Fixed Assets	9,00,000.00	8,10,000.00	7,29,000.00	6,56,100.00	5,90,490.00	5,31,441.00	4,78,296.90
Current Assets							
Live Stock	17,00,000.00	17,00,000.00	17,00,000.00	18,70,000.00	18,70,000.00	18,70,000.00	21,25,000.00
Advance				5,00,000.00	6,00,000.00	8,00,000.00	10,00,000.00
Sundry Debtors	4,00,000.00	8,00,000.00	12,00,000.00	15,00,000.00	18,00,000.00	22,00,000.00	26,00,000.00
Cash & Bank Balances	1,81,285.00	4,56,641.50	7,54,119.50	4,51,824.00	7,04,213.00	7,57,950.50	6,07,168.50
	31,81,285.00	37,66,641.50	43,83,119.50	49,77,924.00	55,64,703.00	61,59,391.50	68,10,465.40
	-	-	-	-	-	-	-

Yield Statement - Milk

Particular	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
1.Total Installed Capacity in Liters/ Cow or Buffaloes	20	20	20	20	20	22	22
2.No of Cow or Buffaloes	20	20	20	22	22	22	25
3.No of Production days in year	275	275	275	275	275	275	275
4.Total Installed Capacity	110000	110000	110000	121000	121000	133100	151250
5.Capacity Utilization	75%	75%	75%	80%	80%	80%	80%
5.Actual Capacity in Liters	82500	82500	82500	96800	96800	106480	121000
6.Selling Price per Liter	60	60	65	65	66	67	69
7.Total Revenue /Year	49,50,000.00	49,50,000.00	53,62,500.00	62,92,000.00	63,88,800.00	71,34,160.00	83,49,000.00

Cost

Particular	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
a) Feed Cost							
1.Feed Cost /Day/animal	380	380	420	480	470	540	580
2.No of Cow or Buffaloes	20	20	20	22	22	22	25
3.No of Days in a year	365	365	365	365	365	365	365
Total Feed Cost	27,74,000.00	27,74,000.00	30,66,000.00	38,54,400.00	37,74,100.00	43,36,200.00	52,92,500.00

b)Labour Cost

1.Manpower Required	4	4	4	5	5	6	6
2.Salary/Month	10,000.00	10,000.00	12,000.00	12,000.00	15,000.00	15,000.00	18,000.00
Total Salary	4,80,000.00	4,80,000.00	5,76,000.00	7,20,000.00	9,00,000.00	10,80,000.00	12,96,000.00

c) Vetarnary Aid

Medicines/ Year	20,000.00	22,000.00	24,200.00	26,620.00	29,282.00	16,105.00	17,715.00
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c)Insurance @2% on Animal Cost

	34,000.00	34,000.00	40,000.00	40,000.00	45,000.00	45,000.00	50,000.00
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d) Electrical Cost/ Year

	25,000.00	27,500.00	30,250.00	33,275.00	36,600.00	40,260.00	44,286.00
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Depreciation:-**Fixed Assets(15%)**

Opening Balance	-	9,00,000.00	8,10,000.00	7,29,000.00	6,56,100.00	5,90,490.00	5,31,441.00
Addition	10,00,000.00	-	-	-	-	-	-
Depreciation	1,00,000.00	90,000.00	81,000.00	72,900.00	65,610.00	59,049.00	53,144.10
Closing Balance	9,00,000.00	8,10,000.00	7,29,000.00	6,56,100.00	5,90,490.00	5,31,441.00	4,78,296.90

Repayment of Term Loan & Bank Interest:

The rate of interest considered @10.00%.

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
Opening Balance	-	17,14,285.00	14,28,570.00	11,42,855.00	8,57,140.00	5,71,425.00	2,85,710.00
Addition	20,00,000.00	-	-	-	-	-	-
Repayment	2,85,715.00	2,85,715.00	2,85,715.00	2,85,715.00	2,85,715.00	2,85,715.00	2,85,710.00
Closing Balance	17,14,285.00	14,28,570.00	11,42,855.00	8,57,140.00	5,71,425.00	2,85,710.00	-
Interest	2,00,000.00	1,71,428.50	1,42,857.00	1,14,285.50	85,714.00	57,142.50	28,571.00

Term Loan shall be repaid in 7 annual installments

Applicant Signature